

confirmation price, or the highest high between the two bottoms (that is, $31.09 + 3.52$). The result, 34.61, is the target.

The chart shows that price met the target in late December. A few days after meeting the target, price momentarily descended before resuming its climb. During mid-April, the stock reached its ultimate high price of 40.26 before declining (not shown).

Table 27.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the height from the highest high to the lowest low between and including the two bottoms and then add the difference to the highest high. The result is the target price. The bottom portion of the table shows how often the measure rule works.
Wait for breakout	Always wait for confirmation (a close above the highest high).
Trade with market trend	To improve your odds, trade this bullish pattern in bull markets.
Check others in the industry	Are other stocks in the same industry showing bottoming patterns or moving up?
Stop location	Table 27.7 shows how often a stop location gets hit.

Description	Bull Market
Percentage reaching half height target	85%
Percentage reaching full height target	69%
Percentage reaching 2× height	48%
Percentage reaching 3× height	35%

How often does this method work? The bottom portion of the table shows the answer. I used the full height in the above example, and the table says it works 69% of the time. Cut the height in half and success increases to 85%,